

PE firm has some great successes in some funds early on, aggregating funds produces a high IRR and masks other bad investments. Phalippou (2008) finds that about half of buyout firms pool funds and then compute IRRs rather than first computing IRRs for each fund and then computing (weighted) averages across funds. Even some LPs use this pooling tactic to make their PE investments look better.¹⁵

Even a positive IRR does not mean that the asset owner is coming out ahead because of the risks entailed—the risk of the underlying portfolio companies and the risks of illiquidity, high fees, and the large agency issues between the LP and the GP (see below). Sorensen, Wang, and Yang (2012) develop a model that takes into account all these risks from the perspective of the LP. An appropriate break-even IRR is 13% to 17% for asset owners comfortable with low to moderate risk if the underlying portfolio companies have a beta of 0.5. If the portfolio companies have a beta of 1.0, the same as the market portfolio, then break-even IRRs are 17% to 19%. The average buyout fund IRR in Figure 18.3 is 16%, so moderately risk-averse investors are just breaking even. And since 2004, buyout funds have not generated value for investors.

3.2. MULTIPLES

The total value to paid-in capital multiple is calculated as the total amount of capital return to LPs (net of fees) divided by the total capital committed, or the amount invested (including fees):

$$\text{Multiple} = \frac{\sum \text{Dist}(t)}{\sum \text{Call}(t)}. \quad (18.2)$$

Multiples are less open to manipulation than IRRs. But they are just as meaningless.

Figure 18.4 graphs multiples for buy-out funds and VC funds compiled by Harris, Jenkinson, and Kaplan (2012). Like the IRR measures, multiples exhibit considerable variation over time that resembles the IRR. (The correlation of multiples with IRRs is 77% for buyout funds and 85% for VC funds.) Multiples for both buyouts and VC are generally over 2.0 in the 1980s, touch 6.5 in the mid-1990s for VC, and since the early 2000s have been fairly subdued. VC buyout multiples have hovered just above 1.0 since 1999 and buyout multiples since 2006 have been around 1.0.

If the multiple is greater than one, then an asset owner has received more money than invested. For several reasons, this doesn't mean you broke even on your PE investments:

¹⁵ Phalippou (2011) documents this for CalPERS, the largest U.S. public pension fund.